

# CLOSING FUNDS FLOW MEMORANDUM

Acquisition of the assets of Brightline Heating & Air LLC by Northgate Acquisition LLC

Closing Date: July 15, 2026

Prepared by Ashcroft Lowe LLP, counsel to Buyer

## SOURCES

| Source             | Provider                                   | Amount      | Form                           |
|--------------------|--------------------------------------------|-------------|--------------------------------|
| SBA 7(a) term loan | Harbor Federal Bank                        | \$1,920,000 | Wire to closing account        |
| Buyer cash equity  | Northgate Acquisition LLC (Dana Whitfield) | \$240,000   | Wire to closing account        |
| Seller Note A      | Ray Kowalski                               | \$120,000   | Non-cash, delivered at closing |
| Seller Note B      | Ray Kowalski                               | \$120,000   | Non-cash, delivered at closing |
| Total sources      |                                            | \$2,400,000 |                                |

## USES

| Use                                                      | Payee                             | Amount      | Form                         |
|----------------------------------------------------------|-----------------------------------|-------------|------------------------------|
| Cash purchase price paid at closing (APA Section 2.2(a)) | Brightline Heating & Air LLC      | \$2,110,000 | Wire                         |
| Holdback (APA Section 2.6)                               | Ashcroft Lowe LLP, holdback agent | \$50,000    | Wire to client trust account |
| Seller Note A (APA Section 2.2(c))                       | Ray Kowalski                      | \$120,000   | Note delivered               |
| Seller Note B (APA Section 2.2(d))                       | Ray Kowalski                      | \$120,000   | Note delivered               |
| Total uses                                               |                                   | \$2,400,000 |                              |

## BUYER CLOSING COSTS (PAID OUTSIDE THE PURCHASE PRICE)

| Item                             | Payee               | Amount      |
|----------------------------------|---------------------|-------------|
| SBA guarantee fee                | SBA via Lender      | \$54,900.00 |
| Lender packaging and closing fee | Harbor Federal Bank | \$4,500.00  |
| Buyer legal fees                 | Ashcroft Lowe LLP   | \$18,750.00 |
| Quality of earnings review       | Keller & Vance CPAs | \$12,000.00 |
| Lien searches, filings, title    | Various             | \$1,340.00  |
| Total closing costs              |                     | \$91,490.00 |

## POST-CLOSING PAYMENT OBLIGATIONS OF BUYER (SUMMARY FOR SERVICING)

| Obligation    | Counterparty        | Terms                                                                                     |
|---------------|---------------------|-------------------------------------------------------------------------------------------|
| SBA 7(a) loan | Harbor Federal Bank | \$25,639.49 monthly, 15th of each month from August 15, 2026, 120 payments, variable rate |

|                   |                                    |                                                                                            |
|-------------------|------------------------------------|--------------------------------------------------------------------------------------------|
| Seller Note A     | Ray Kowalski                       | \$120,000 at 6% simple, full standby, no payments while SBA loan outstanding               |
| Seller Note B     | Ray Kowalski                       | \$120,000 at 6%, 24 month standby, 36 monthly installments, revenue adjustment at month 24 |
| Consulting fee    | Ray Kowalski                       | \$6,000 per month, 12 months, paid last business day of month, August 2026 to July 2027    |
| Retention bonuses | L. Herrera, T. Nguyen, C. Dempsey  | \$33,000 total in three annual tranches, July 15, 2027, 2028 and 2029                      |
| Holdback release  | Ray Kowalski via Ashcroft Lowe LLP | \$50,000 released January 15, 2027 if NWC true-up settled                                  |
| Lender reporting  | Harbor Federal Bank                | Quarterly financials within 45 days, tax returns within 120 days of year end               |

Wire confirmations for the closing account were received from Harbor Federal Bank (ref. HFB-0715-2241) and from Northgate Acquisition LLC (ref. NGA-0715-0018) at 10:42 a.m. and 9:15 a.m. Central time on the Closing Date. Disbursements were released at 1:05 p.m. Central time.

**Prepared by Ashcroft Lowe LLP**

By: /s/ Miriam Ashcroft

Name: Miriam Ashcroft

Title: Partner